

A Fidelity Investments Webinar Series

Getting Started with Technical Analysis

BROKERAGE: TECHNICAL ANALYSIS

Fidelity INVESTMENTS

Agenda

Defining Technical Analysis

Charts, Chart Types, and Chart Construction

Basics of Trend Analysis

Best Practices for Trend Traders



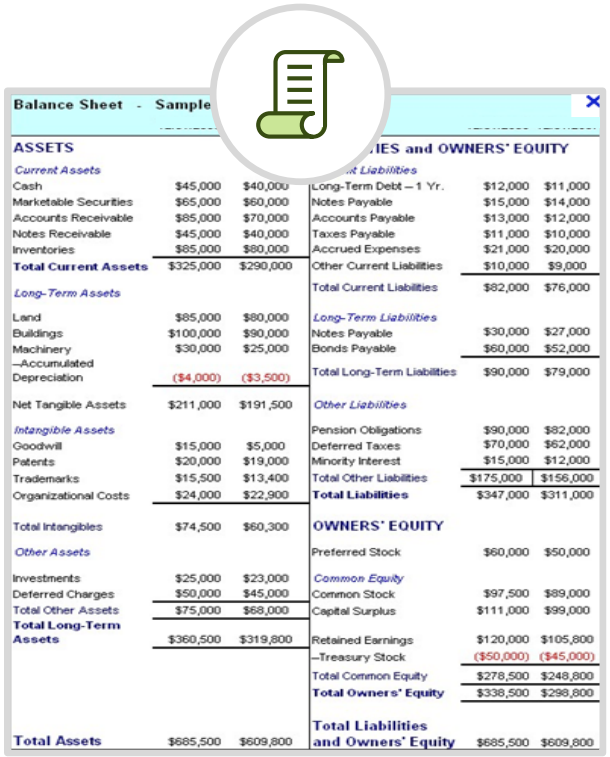


Defining Technical Analysis

Fidelity INVESTMENTS

Fundamental Analysis &Technical Analysis

Two Common Types of Analysis



Balance Sheet - Sample

ASSETS			LIES and OWNERS' EQUITY		
Current Assets			*t Liabilities*		
Cash	$45,000	$40,000	Long-Term Debt – 1 Yr.	$12,000	$11,000
Marketable Securities	$65,000	$60,000	Notes Payable	$15,000	$14,000
Accounts Receivable	$85,000	$70,000	Accounts Payable	$13,000	$12,000
Notes Receivable	$45,000	$40,000	Taxes Payable	$11,000	$10,000
Inventories	$85,000	$80,000	Accrued Expenses	$21,000	$20,000
Total Current Assets	$325,000	$290,000	Other Current Liabilities	$10,000	$9,000
			Total Current Liabilities	$82,000	$76,000
Long-Term Assets					
Land	$85,000	$80,000	*Long-Term Liabilities*		
Buildings	$100,000	$90,000	Notes Payable	$30,000	$27,000
Machinery	$30,000	$25,000	Bonds Payable	$60,000	$52,000
–Accumulated Depreciation	($4,000)	($3,500)	Total Long-Term Liabilities	$90,000	$79,000
Net Tangible Assets	$211,000	$191,500	*Other Liabilities*		
Intangible Assets			Pension Obligations	$90,000	$82,000
Goodwill	$15,000	$5,000	Deferred Taxes	$70,000	$62,000
Patents	$20,000	$19,000	Minority Interest	$15,000	$12,000
Trademarks	$15,500	$13,400	Total Other Liabilities	$175,000	$156,000
Organizational Costs	$24,000	$22,900	**Total Liabilities**	$347,000	$311,000
Total Intangibles	$74,500	$60,300	**OWNERS' EQUITY**		
Other Assets			Preferred Stock	$60,000	$50,000
Investments	$25,000	$23,000	*Common Equity*		
Deferred Charges	$50,000	$45,000	Common Stock	$97,500	$89,000
Total Other Assets	$75,000	$68,000	Capital Surplus	$111,000	$99,000
Total Long-Term Assets	$360,500	$319,800	Retained Earnings	$120,000	$105,800
			–Treasury Stock	($50,000)	($45,000)
			Total Common Equity	$278,500	$248,800
			Total Owners' Equity	$338,500	$298,800
Total Assets	$685,500	$609,800	**Total Liabilities and Owners' Equity**	$685,500	$609,800

Fundamental Analysis



Technical Analysis

Defining Technical Analysis



Definition

Technical analysis primarily studies historical market data. It also:

- Focuses on the supply-and-demand dynamic expressed via stock prices
- Visualizes shifts in supply-and-demand which can be seen in chart patterns
- Accounts for the emotional aspects of the marketplace
- Quantifies the capital risk of trading and investment decisions
- Does not try to predict the future

Defining Technical Analysis



Assumptions

- Prices in freely traded markets are determined by the economic principles of supply-and-demand
- Price discounts everything
- Prices are nonrandom but not necessarily predictable
- Prices have direction and tend to travel in observable trends
- Behavior and history in the marketplace will repeat itself
- Price patterns summarizing behavior are “fractal”



Charts, Chart Types, and Chart Construction

Fidelity INVESTMENTS

Charts, Chart Types, & Chart Construction

Overview



Analyze price behavior



Easily visualize the patterns and trends within data

The Value of Reversal Points

The longer the trend, the more important the reversal point

Reversal point importance is determined by the length of the trend before and after the peak or trough.

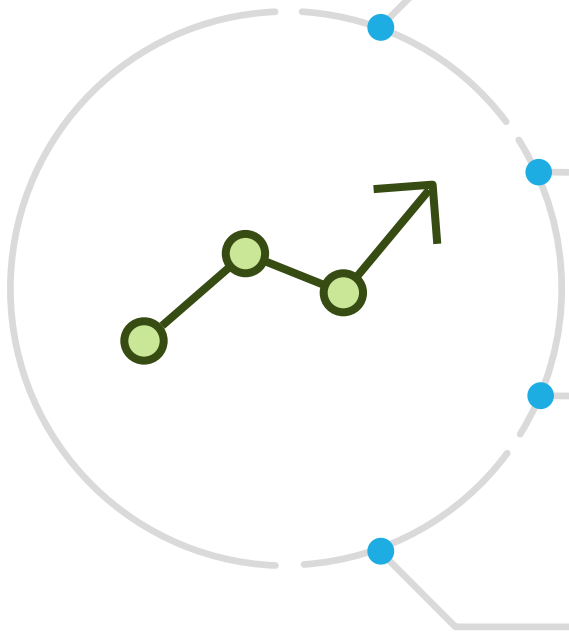




Basics of Trend Analysis

Fidelity INVESTMENTS

The Value of Trends



Technical analysis is based on the principles of trends

Trends arise from the interaction of buyers and sellers

Profit is made from a trend in prices

A trend's direction is described by the relative location of peaks and troughs

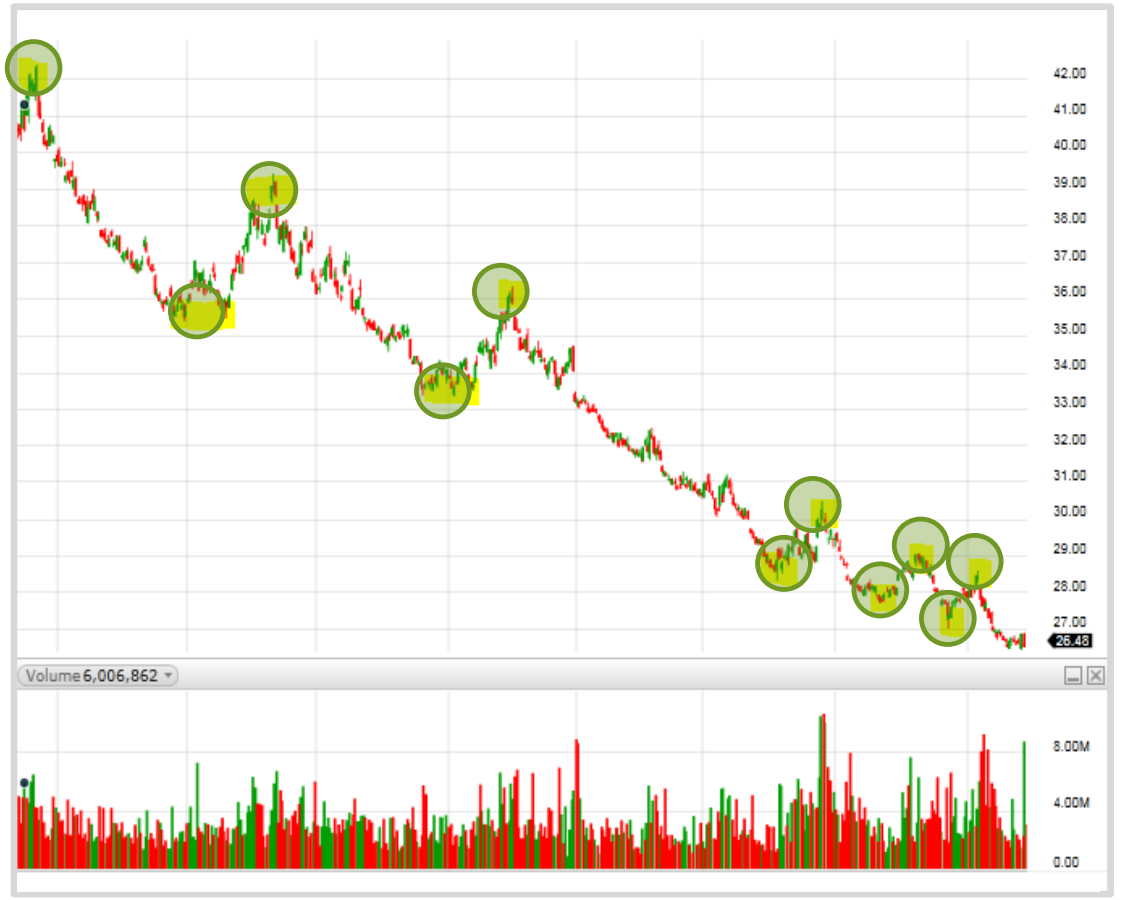
Uptrend

An uptrend has successively higher peaks and higher troughs.



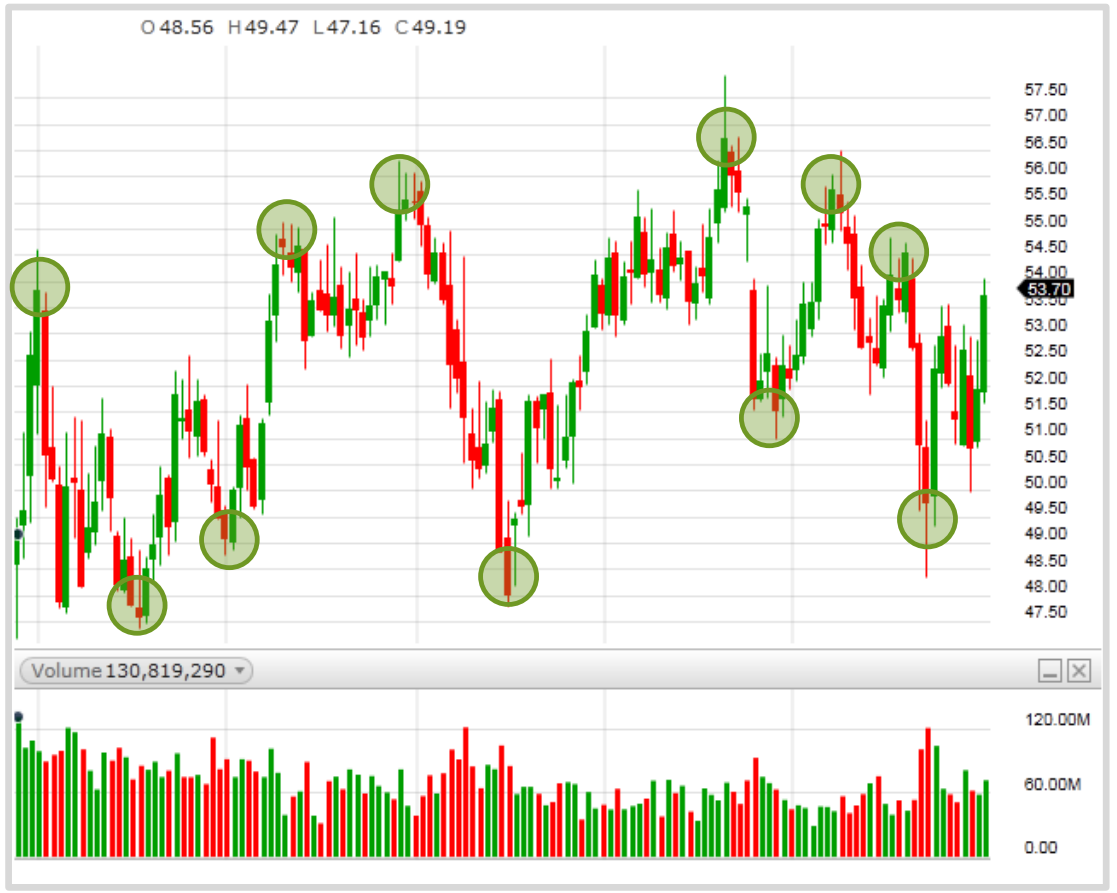
Downtrend

A downward trend has successively lower peaks and lower troughs.



Sideways Trend

A sideways trend is a period with no clear direction in prices.



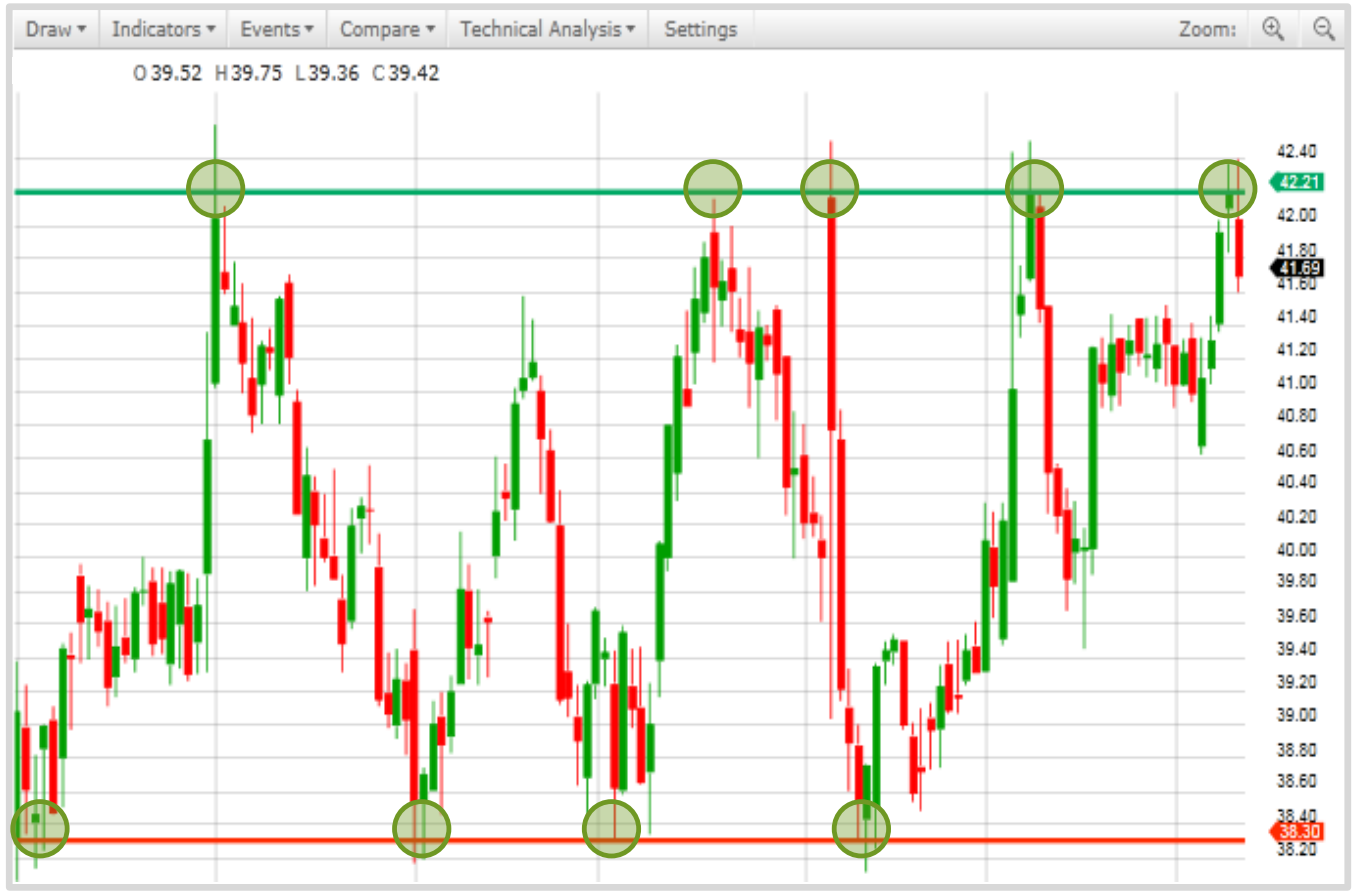
Support and Resistance

Support

Horizontal line drawn through troughs at the same price level

Resistance

Horizontal line drawn through peaks at the same price level



Profiting from a Trading Range

Green points are candles that hit support and resistance levels on close.

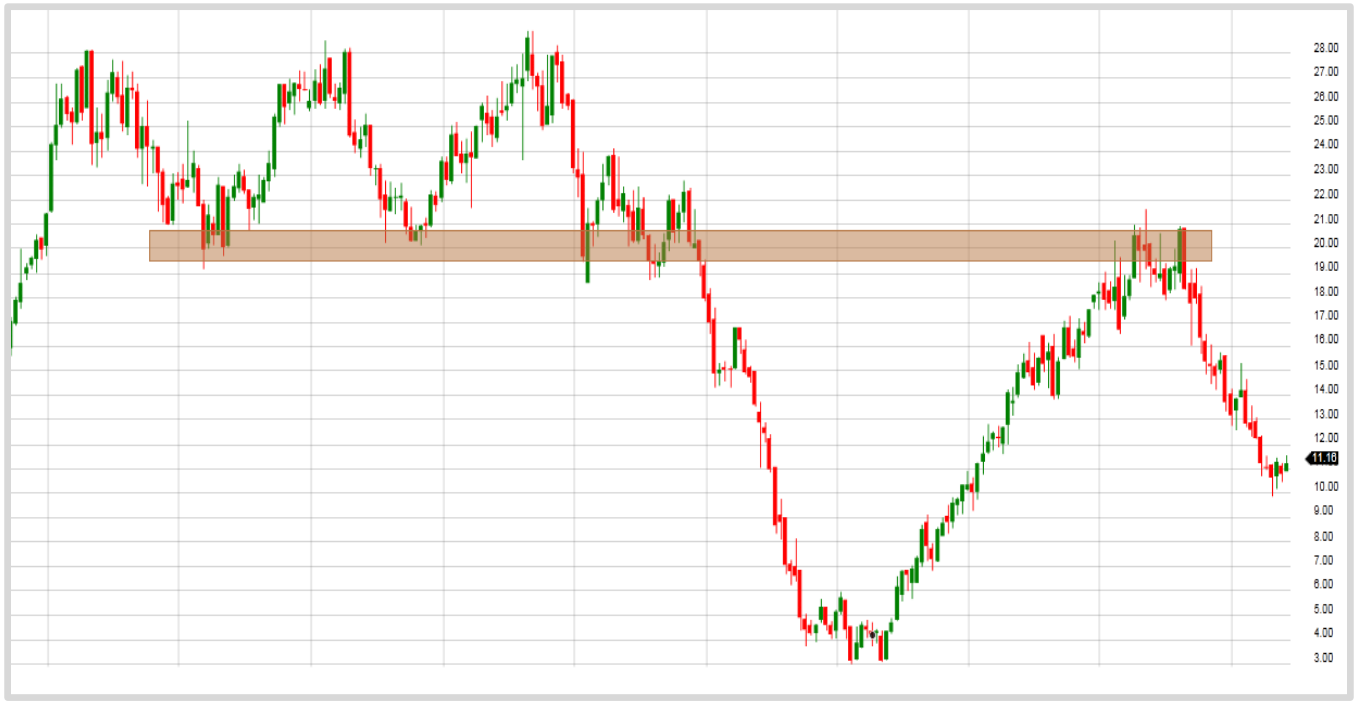
Red are intraday and do not close at support and resistance.



When Support Becomes Resistance

Once the price breaks through support, that support becomes future resistance.

When the price eventually rallies back to that level, it hits selling pressure and reverses back down again.





Best Practices for Trend Traders

Fidelity INVESTMENTS

Entry Strategy



Exit Strategy

The trend line crosses previous troughs.

A trigger could be a breakout below the rising trend line.



Important Information

Any screenshots, charts, or company trading symbols mentioned, are provided for illustrative purposes only and should not be considered an offer to sell, a solicitation of an offer to buy, or a recommendation for the security.

Investing involves risk, including risk of loss.

Technical analysis focuses on market action – specifically, volume and price. Technical analysis is only one approach to analyzing stocks. When considering what stocks to buy or sell, you should use the approach that you're most comfortable with. As with all your investments, you must make your own determination whether an investment in any particular security or securities is right for you based on your investment objectives, risk tolerance, and financial situation. Past performance is no guarantee of future results.

© 2019 FMR LLC. All rights reserved.

Fidelity Brokerage Services, Member NYSE, SIPC, 900 Salem Street, Smithfield, RI 02917

910805.1.0